AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X

ANNUAL EXAMINATIONS (THEORY) 2024

Principles of Accounting Paper II

Time: 2 hours 05 minutes Marks: 45

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are TEN questions. Answer ALL questions.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Use the given information to answer Q.1 and Q.2.

Maha Traders bought plant and machinery at a cost of Rs 1,550,000. The plant is expected to have a useful life of 300,000 units and a scrap value of Rs 50,000. It was decided to depreciate the asset by the number of units produced. The details of the usage of the asset is as follows:

Year	Units Produced
1st	30,000
2nd	28,000

After using the plant for 32,000 units in the third year, Maha Traders decided to dispose of the plant for Rs 1,010,000.

Q.1. (Total 4 Marks)

Complete the given table for plant and machinery by computing depreciation, accumulated depreciation and book value.

Year	Depreciation	Accumulated Depreciation	Book Value
1st			
2nd			
3rd			

Space for computation of depreciation

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Q.2. (Total 6 Marks)

- Calculate profit/ loss on disposal.
- Post general journal entry to record the disposal of plant and machinery.

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Use the given information to answer Q.3 and Q.4.

The following extract of the unadjusted trial balance has been taken from the books of Areesh Traders as on December 31, 2023.

Account Title	Debit	Credit
Sales revenue		348,000
Cost of sales (cost of goods sold)	232,000	
Commission income		7,000
Salaries expense	23,000	
Interest expense	16,500	

Data for adjustment:

- Unearned commission amounted to Rs 2,500
- Salaries payable amounted to Rs 3,300
- Prepaid interest at the end of the year was Rs 1,500

Q.3. (Total 3 Marks)

Prepare the necessary adjusting entries that will be made by Areesh Traders as on December 31, 2023.

Date	Particulars	P.R.	Debit	Credit

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Q.4. (Total 7 Marks)

Prepare the income statement for the year ended December 31, 2023, to calculate net profit for Areesh Traders.

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Q.5. (Total 5 Marks)

Mahnoor, a sole trader, maintains incomplete accounting records. The following details have been taken from her business records as on June 30, 2021.

Particulars	**Balance (As on July 01, 2020) (Rs)**	**Balance (As on June 30, 2021) (Rs)**
Trade payables (account payables)	90,000	78,000
Trade receivables (account receivables)	60,000	56,000

During the year ended June 30, 2020, the following transactions took place:

Particulars	**Amount (Rs)**
Cash paid to suppliers	35,000
Cash received from customers	58,000
Cash discount received	2,000
Cash discount allowed	2,500
Bad debts written off	3,000
Goods returned to suppliers	5,000
Goods returned by customers	6,000

Calculate the amount of net credit purchases for the year ended June 30, 2021.

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Q.6. (Total 4 Marks)

Compare and contrast the concept of mark-up and margin with the help of one example each from everyday business affairs.

	Mark up	**Margin**
Definition		
Example		

Q.7. (Total 4 Marks)

Predict the impact of the given accounting errors on statement of affairs and income statement. (Fill any FOUR blank spaces)

[**Note:** The accounting period of the business firm ends on December 31. The first accounting error has been solved for your reference.]

Accounting Errors	**Impact on Income Statement**	**Impact on Statement of Affairs**
The three-year insurance premium for Rs 36,000 was paid on March 01, 2023 and recorded as expense.	Operating Expense will be deducted Rs 26,000 And net income will be increased by same amount.	Prepaid advertisement will be added as current assets and net income will be reduce with the same amount (i.e. Rs 26,000)
On December 31, 2023, an advance salary request is facilitated of an employee and the employee is allotted three months advance salary for Rs 240,000 and recorded as expense.		
Goods returned from Alpha Traders worth Rs 25,000 was entered as goods purchased from Alpha Traders.		
A drawing of merchandise worth Rs 10,000 was recorded as cash withdrawals.		

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Q.8. (Total 4 Marks)

The following errors were committed by the accountant of Rehan Brothers. Rectify the errors by recording the correct and corrected general journal entries in each of the given cases.

[**Note**: The case 1 has been solved for your reference.]

Case 1

- Purchased office equipment on account for Rs 8,000 wrongly passed through the purchase account.

S.No.	Particulars	P.R.	Debit	Credit
	Purchase account		8,000	
	Account payable			8,000

Space for Correct entry

S.No.	Particulars	P.R.	Debit	Credit
	Office equipment		8,000	
	Account payable			8,000

Space for Corrected entry

S.No.	Particulars	P.R.	Debit	Credit
	Office equipment		8,000	
	Purchase account			8,000

Case 2

- Sold goods to Saleem Brothers for Rs 12,000 on credit were recorded to Saleem Associates account.

S.No.	Particulars	P.R.	Debit	Credit
	Saleem Associates		12,000	
	Sales Revenue			12,000

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Space for Correct entry

S.No.	Particulars	P.R.	Debit	Credit

Space for Corrected entry

S.No.	Particulars	P.R.	Debit	Credit

Case 3

- Salary paid to Mr. Kaleem in cash Rs 7,000 was wrongly recorded as Rs 700 in the books of account.

S.No.	Particulars	P.R.	Debit	Credit
	Salary Expense (Mr. Kaleem)		700	
	Cash			700

Space for Correct entry

S.No.	Particulars	P.R.	Debit	Credit

Space for Corrected entry

S.No	Particulars	P.R.	Debit	Credit

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Q.9. (Total 4 Marks)

Compare a Non-profit business organisation to a profit-based commercial business organisation based on the given criteria.

Criteria	Non-profit business organisation	Profit-based commercial business organisation
Money used to start an organisation		
To record cash and cheques received and paid		
To measure performance		
To measure overall profitability		

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Q.10. (Total 4 Marks)

The following information is provided by Allied Sports Club:

Particulars	Amount (Rs)	Particulars	Amount (Rs)
Cash in hand	8,000	Closing cash balances	5,000
Cash at bank	35,000	Subscription	42,000
Ground rent expense	66,000	Donation	110,000
Entrance Fee	9,000	Taxes	12,000
Miscellaneous Expense	4,000	Club staff salary	80,000
General Expense	25,000	Utility Expense	7,000
Club advertisement	10,000	Sale of Tickets	56,000

Prepare the income and expenditure account for Allied Sports Club.

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END OF PAPER

Please use this page for rough work

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